

Replication README

Economic Sanctions and Intermediated Trade

Maxim Chupilkin, Beata Javorcik, Aleksandra Peeva, Alexander Plekhanov

This document provides detailed instructions and necessary information to replicate all results and figures presented in the paper "Economic Sanctions and Intermediated Trade".

Data sources

The paper relies on international trade data obtained from the [UN COMTRADE](#) database. Raw file cannot be made publicly available in the replication package due to UN COMTRADE terms of use. The following files should be downloaded and saved:

1. Monthly exports of all EU countries and UK to Armenia, Kazakhstan, Kyrgyz R. and Russia from Jan'2017 to Dec'2023 on HS6 level saved as "Raw-data /monthly_trade_data.csv"
2. Monthly exports of Armenia, Kazakhstan and Kyrgyz R. to Russia from Jan'2017 to Dec'2023 on HS6 level saved as "Raw-data /CCA3 exports.csv"
3. Annual exports of all EU countries and UK to all countries from 2017 to 2023 on HS6 level saved as "Raw-data/full_annual_exports.csv"
4. Annual imports of all countries from all EU countries and UK from 2017 to 2023 on HS6 level saved as "Raw-data/ full_annual_exports.csv"

Due to the volume and granularity of the data used (monthly, by product and partner country), bulk downloads may require access to the UN COMTRADE API. This access can be obtained for a small fee, subject to negotiation.

The files already uploaded to Raw-data folder contain a correspondence between UN COMTRADE country codes and country names for ease of reference.

The paper also uses a file EU_sanctions_HS6. It contains a manual coding of EU trade sanctions by HS6 product group done by authors based on the [EU Council Regulation 833/2014](#). The coding was done as of December 2022. The files are already uploaded to Raw-data folder.

Instructions

1. Download all files from UN COMTRADE and save them as specified above
2. Go to "master code.do" do-file
3. Input your project path in line 5. Project path should be the folder where this README file is located.
4. Run the master do-file in STATA. This script sequentially processes the raw data, constructs the variables used in the analysis, and exports final datasets used to generate the figures.
5. Final versions of the figures will be located in the /Figures folder. These figures are linked to Excel templates, which are automatically updated during the replication process.

Master do-file explanation

1. Master file first sets file paths
2. It then cleans monthly trade data necessary for Figures 1 and 2
3. It then cleans annual import and export data and generates lost in transit data file required for Figure 3
4. It then transforms data requires for each of the figures and exports them directly in excel
5. All figures are already pre-set in excel, the do-file simply modifies values inside the excel sheet

Software requirements

1. STATA 18
2. Microsoft excel

Memory and runtime

The code was run on HP EliteBook with 64 RAM and 100 GB free disk space. The total runtime is around 40 minutes.

Statement about rights

The authors of the manuscript certify that they have legitimate access to and permission to use the data used in this manuscript.

Contacts

For questions regarding replication procedures, please contact Maxim Chupilkin directly: chupilkm@ebrd.com